



TCO & ROI MODEL

# Magento today vs. Shopify Plus tomorrow.

Live numbers. Editable inputs. Sources on hover.

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FOR

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TARGET GO-LIVE

Late January 2027 · pre-Valentine's

TCO & ROI

PRICING

MUTUAL ACTION PLAN

APPENDIX

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## The bottom line.

ANNUAL OPERATING  
SAVINGS ⓘ

**\$475,200**

Recurring, Years 2-3

3-YEAR NET BENEFIT ⓘ

**\$1,096,100**

After Year 1 implementation

PAYBACK PERIOD ⓘ

**~8 mo**

From go-live

## Current state.

- **Magento is getting more expensive every year.** 10+ years of custom code. Every site change needs a developer.
- **NetSuite + NewStore go live in August, with Shopify following.** If those slip, the late-January 2027 launch holds either way.
- **Launching January 2027 captures a full year of savings.** Push it later and that upside slips to 2028.

Full data set, monthly GMV breakdown, stack inventory, and source for every number → **Appendix** tab.

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### LIVE TCO MODEL

## Magento today vs. Shopify Plus.

Edit any number. The page updates live.

### PROCESSING — ALREADY SAVING

Shopify Plus list rates (**2.25% standard • 2.95% Amex**) are lower than Catbird's go-forward Stripe benchmark (**2.35% standard • 3.19% Amex**). Catbird saves on every transaction from day one — before any other lever.

# Annual operating cost

USD · processing mix is editable (Catbird-confirmed: 84% std / 16% Amex)

| LINE ITEM                  | MAGENTO (TODAY)                            | SHOPIFY PLUS (FUTURE)                                                                        |
|----------------------------|--------------------------------------------|----------------------------------------------------------------------------------------------|
| License ⓘ                  | \$ <input type="text" value="165000"/> /yr | \$ <input type="text" value="2300"/> /mo<br>= \$150K/yr effective<br>(VPF on \$50M at 0.30%) |
| Apps + extensions ⓘ        | \$ <input type="text" value="84000"/>      | \$ <input type="text" value="36000"/>                                                        |
| Maintenance / middleware ⓘ | \$ <input type="text" value="0"/>          | \$ <input type="text" value="24000"/>                                                        |
| Dev agency ⓘ               | \$ <input type="text" value="450000"/>     | \$ <input type="text" value="75000"/>                                                        |
| In-house dev ⓘ             | \$ <input type="text" value="0"/>          | <i>bundled — \$0</i>                                                                         |
| Standard card rate ⓘ       | <input type="text" value="2.35"/> %        | <input type="text" value="2.25"/> %                                                          |
| Amex / commercial rate ⓘ   | <input type="text" value="3.19"/> %        | <input type="text" value="2.95"/> %                                                          |
| % of volume on Amex ⓘ      | <input type="text" value="16"/> %          | <input type="text" value="16"/> %                                                            |
| VPF rate ⓘ                 | —                                          | <input type="text" value="0.30"/> %                                                          |

Annual GMV ⓘ

\$

50000000

\$

50000000

Implementation (one-time) ⓘ

—

\$

329500

### Annual operating cost — calculated

#### MAGENTO (TODAY)

License + hosting **\$165,000**

Apps + extensions **\$84,000**

Maintenance + Yottaa **\$0**

Dev agency **\$450,000**

In-house dev **\$0**

Processing on \$50M **\$1,242,200**

**Magento total / yr**

+ Implementation (one-time) —

#### SHOPIFY PLUS (FUTURE)

Plus license (VPF or base) **\$150,000**

Future apps **\$36,000**

SuperSync middleware **\$24,000**

Dev agency (buffer) **\$75,000**

In-house dev (50% freed) **\$0**

Processing on \$50M **\$1,181,000**

**Plus total / yr \$1,466,000**

+ Lazer implementation **\$329,500**  
(one-time, Year 1)

**CATBIRD SAVES / YEAR**

**+\$475,200 / yr**

ROI

# Three-year picture.

Cost savings is only half the story. Plus also lifts revenue.

Annual revenue lift

All values editable · stacks on top of TCO savings

SHOP PAY CONVERSION LIFT

Shop Pay conversion lift

1.0

%

Applied to annual GMV

\$50,000,000

Annual lift from Shop Pay

+\$500,000

SHOPIFY AUDIENCES (PAID ROAS)

Annual paid ad spend

2500000

ROAS improvement from Audiences

15

%

Annual lift from Audiences

+\$375,000

Total annual revenue lift

Shop Pay conversion uplift

+\$500,000

Audiences ROAS uplift

+\$375,000

REVENUE LIFT / YEAR

+\$875,000

COMBINED ANNUAL BENEFIT — SAVINGS + REVENUE LIFT

+\$1,350,200 / yr

### 3-year projection

Year 1 absorbs the Lazer implementation cost (\$329,500 — \$289,500 build + \$40K discovery). Years 2 and 3 are clean recurring savings. Revenue lift stacks on top and is not modeled in the table below — see it above.

|                                                    | YEAR 1<br>(2027) | YEAR 2<br>(2028) | YEAR 3<br>(2029) | 3 - YEAR<br>TOTAL |
|----------------------------------------------------|------------------|------------------|------------------|-------------------|
| <b>Magento (status quo)</b>                        | \$1,941,200      | \$1,941,200      | \$1,941,200      | \$5,823,600       |
| <b>Shopify Plus<br/>(operating + Lazer Year 1)</b> | \$1,795,500      | \$1,466,000      | \$1,466,000      | \$4,727,500       |
| <b>Net benefit on Plus</b>                         | +\$145,700       | +\$475,200       | +\$475,200       | +\$1,096,100      |

# Pricing.

## License

|                                                                 |                                                                                                       |                                                                                                 |
|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <p>BASE</p> <p><b>\$2,300 /<br/>mo</b></p> <p>3-year commit</p> | <p>VPF — APPROVED ✓</p> <p><b>0.30%</b></p> <p>Online rate secured —<br/>down from 0.35% standard</p> | <p>CATBIRD AT \$50M</p> <p><b>\$150K /<br/>yr</b></p> <p>at 0.30% — was \$175K at<br/>0.35%</p> |
|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|

## What the 0.30% approval means

We secured online VPF approval at **0.30%** — a 0.05-point cut from the 0.35% standard, or roughly **14% off your variable platform fee**. Because VPF is charged on GMV, the dollar savings grow every year Catbird grows. This approval is **valid through July 30, 2026**.

|                                                                                                                              |                                                                                                                                  |                                                                                                                                       |
|------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Today — \$50M<br/>GMV (2025 actual)</b></p> <p><b>\$25,000 / yr</b></p> <p>\$150K at 0.30% vs<br/>\$175K at 0.35%.</p> | <p><b>Projected — \$55M<br/>GMV (2026 plan)</b></p> <p><b>\$27,500 / yr</b></p> <p>\$165K at 0.30% vs<br/>\$192.5K at 0.35%.</p> | <p><b>Over the 3-year<br/>commit</b></p> <p><b>~\$80K+</b></p> <p>Cumulative, assuming<br/>modest GMV growth<br/>across the term.</p> |
|------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|

The rate holds as you scale: every additional \$10M in annual GMV widens the gap by another **\$5,000/yr** vs the standard 0.35% — so the faster Catbird grows, the more this concession is worth.

# Card processing

## Standard (Visa / MC / Discover)

2.25% + 30¢

84% of Catbird's volume.

## Amex / commercial

2.95% + 30¢

16% of Catbird's volume.

## vs. your Stripe go-forward rates

| CARD TYPE                       | SHOPIFY PAYMENTS | YOUR STRIPE RATE | DELTA  |
|---------------------------------|------------------|------------------|--------|
| Standard (Visa / MC / Discover) | 2.25% + 30¢      | 2.35%            | -0.10% |
| Amex / commercial               | 2.95% + 30¢      | 3.19%            | -0.24% |

Lower on **both** card types than your Stripe go-forward rate — roughly **\$60K/yr less** on \$50M at your 84/16 mix. This processing advantage is **already reflected in the \$450K/yr TCO savings**; the Shop Pay conversion lift and automated reconciliation stack on top.

# Secured incentive

Approved this quarter — **valid through July 30, 2026.**

## VPF reduction — secured ✓

Approved at **0.30%**, down from the 0.35% standard — the lever Catbird flagged as most impactful on the 6/23 call.  
Compounds as GMV grows (see "What the 0.30% approval means" above).

# Working backward from a January 2027 launch — fully live for Valentine's Day.

**WK OF JUN 17 · THIS WEEK**

## **TCO model review**

Today's call: walk through the model. Confirm assumptions and align on the decision framework for partner selection.

**WK OF JUN 24**

## **Internal review · partner selection criteria locked**

Catbird shares the TCO model + partner shortlist internally. Decision criteria locked: financial fit, configurator confidence, NetSuite integration. Reference checks complete.

**MON JUL 6 · TODAY**

## **Final pricing shared**

Shopify presents final pricing — \$2,300/mo base + the approved 0.30% VPF, for Catbird's commit term and GMV band.

**YOUR GREEN LIGHT**

## **Green light on pricing**

Once Catbird confirms the pricing works, we proceed. Shopify holds all paperwork until this go-ahead — nothing drafted before you're comfortable.

**THIS WEEK · CATBIRD**

## **Letter of Intent + Shopify account**

Sign a non-binding Letter of Intent (sent via DocuSign) confirming the Shopify products Catbird plans to use — and create the Shopify account so Shopify can send the contract through it.

**ON YOUR GO-AHEAD****Shopify sends the contract**

Once pricing is green-lit and the account is created, Shopify drafts and sends the contract to Catbird's Shopify account. We don't draft until you give the go-ahead.

**WK OF JUL 8****Partner decision · paid assessment kickoff**

CQL / Lazer / Domaine decision finalized. Selected partner kicks off paid discovery (4–6 weeks). Validates configurator + NetSuite + data migration.

**THROUGH JUL 30****Contract review**

Catbird legal + finance review runs through Jul 30. Terms are standard — Shopify doesn't redline — so this window is about internal comfort, not negotiating language. PE board notification (if required) lands here, followed by internal sign-off and signature prep.

**WED JUL 30 · TARGET****Contract signed ✓**

Contract executed by Catbird's authorized signer (same signer as the LOI). Shopify account team assigned. Selected partner moves from paid assessment into full build.

## Post-close — build to launch

**2ND WK OF AUG****NetSuite + NewStore cutover**

ERP + POS replatforming completes — Shopify build picks up from here on the planned sequence. If this cutover slips, the Shopify track keeps moving in parallel rather than waiting, protecting the late-January launch. SuperSync middleware gets tested in production once NetSuite is live.

**AUG – DEC 2026**

### **Build phase · ~17 weeks**

Theme, configurator framework, NetSuite + SuperSync, data migration (27,045 SKUs + customer records), native promotions, SEO migration with 301 redirects. Avoids the late-July sale and Q4 retail peak by design.

**JAN 2027**

### **UAT · pre-launch QA**

End-to-end testing. Payment + tax + 301 validation. 2 weeks of partner hypercare locked for go-live.

**LATE JAN 2027 · PRE-  
VALENTINE'S**

### **Go-live ✓**

Public launch ahead of Valentine's. Full 2027 efficiency cycle captured. Annual savings begin compounding.

**Q1 2027 FAST-FOLLOW**

### **Loyalty + post-launch enhancements**

Okendo, Rebuy, A/B testing, heatmapping, visualization tools layered in per Catbird's confirmed roadmap.

## APPENDIX

# The full data set behind the model.

Every number Catbird shared, every Shopify list-rate, and every source. Use this tab to verify any input in the calculator or to cross-check assumptions before circulating internally.

### CATBIRD PROFILE — CONFIRMED DATA

## What we're sizing this model for.

Every number below comes from Catbird's TCO Discovery sheet (filled in by Catbird) or the Lazer SOW. Hover the info icons for source detail.

ACTIVE SKUS



27,045

644 configurable ·  
26,338 simple

AOV (ONLINE)



\$325

Per TCO  
Discovery sheet

MONTHLY

SESSIONS



740K

Per month

ACTIVE

CUSTOMERS

(12MO)



6.2M

Last 12 months

CONVERSION

RATE



1.3%

Updated from  
sheet

CUSTOMIZABLE

JEWELRY

SHARE



16%

Confetti ·  
Memento ·  
engraving

CART

ABANDONMENT



65%

~19K abandon /  
month

AMEX MIX



16% /  
84%

Amex / standard

## Monthly online GMV — last 12 months ⓘ

| PERIOD | JUN '25 | JUL '25 | AUG '25 | SEP '25 | OCT '25 | NOV '25  | DEC '25 |
|--------|---------|---------|---------|---------|---------|----------|---------|
| GMV    | \$2.43M | \$5.27M | \$3.53M | \$3.13M | \$4.29M | \$10.04M | \$7.82M |

| PERIOD | JAN '26 | FEB '26 | MAR '26 | APR '26 | MAY '26 | TOTAL LTM | 2025 ECOM |
|--------|---------|---------|---------|---------|---------|-----------|-----------|
| GMV    | \$2.62M | \$2.62M | \$2.70M | \$3.08M | \$3.41M | ~\$50.9M  | ~\$50M    |

**Read the seasonality:** Nov–Dec drives ~36% of annual GMV (Nov \$10M, Dec \$7.8M). Q1 (post-Valentine's) runs below baseline. **Plus migration timed for late Jan 2027 captures the full 2027 peak cycle** — pre-Valentine's drop drives initial volume, then Nov–Dec 2027 hits on the new platform.

## The stack to integrate ⓘ

- **ERP:** NetSuite (in flight — replacing Teamwork CHQ)
- **POS:** NewStore (in flight — replacing Teamwork POS) · cutover 2nd week of August 2026
- **Middleware:** SuperSync (NetSuite ↔ Shopify integration)
- **Email / SMS:** Klaviyo · Attentive (both retain on Shopify)
- **Search:** Searchspring today — Shopify S&D TBD
- **Reviews / UGC:** Yotpo
- **Fraud:** Forter (future TBD)
- **Gift cards:** Teamwork → Clutch (in flight)
- **Customer service:** Kustomer
- **Loyalty:** None today — Q1 post-launch fast-follow per Catbird (Okendo, Rebuy, A/B, heatmapping, visualization tool)

### KEY ASSUMPTIONS

# Every number, every source.

The full input layer behind the model. Catbird-specific data is from the intro discussion and partner discussions. Shopify pricing is from the published US rate card. Magento numbers are placeholder estimates pending Catbird's confirmation.

|                               |                           |                                                                                                                                           |
|-------------------------------|---------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| <b>2025 online GMV</b>        | <b>\$50M</b>              | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Aligns with Catbird discussion: "in 25 we finished just under 50 million."</i>      |
| <b>2026 planned GMV</b>       | <b>\$55M (+10%)</b>       | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Per Catbird discussion: "10% over that \$49M in 2026 alone."</i>                    |
| <b>AOV (online)</b>           | <b>\$325</b>              | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Updated from \$312 baseline in Lazer SOW.</i>                                       |
| <b>Conversion rate</b>        | <b>1.3%</b>               | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Updated from 1.52% baseline.</i>                                                    |
| <b>Monthly sessions</b>       | <b>740,000</b>            | <i>Catbird TCO Discovery sheet, confirmed by Catbird.</i>                                                                                 |
| <b>Active customers (LTM)</b> | <b>6.2M</b>               | <i>Catbird TCO Discovery sheet, confirmed by Catbird.</i>                                                                                 |
| <b>Cart abandonment rate</b>  | <b>65%</b>                | <i>Catbird TCO Discovery sheet, confirmed by Catbird. ~19K users abandon per month — biggest single revenue-lift opportunity on Plus.</i> |
| <b>Amex mix</b>               | <b>16% Amex / 84% std</b> | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Lower than typical fine-jewelry mix — favorable for processing costs.</i>           |

|                                         |                         |                                                                                                                                                              |
|-----------------------------------------|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Magento license + hosting</b>        | <b>\$165,000</b>        | <i>Catbird TCO Discovery sheet, confirmed by Catbird.</i>                                                                                                    |
| <b>Magento dev agency (annual)</b>      | <b>\$450,000</b>        | <i>Catbird TCO Discovery sheet, confirmed by Catbird. Includes in-house dev + maintenance (bundled per Catbird's note).</i>                                  |
| <b>Magento apps + extensions</b>        | <b>\$84,000</b>         | <i>Catbird TCO Discovery sheet, confirmed by Catbird.</i>                                                                                                    |
| <b>Plus base license</b>                | <b>\$2,300 / mo</b>     | <i>Shopify Plus published US rate card. 3-year commit pricing.</i>                                                                                           |
| <b>Plus VPF rate</b>                    | <b>0.30% (approved)</b> | <i>Approved online concession — 0.30%, down from the 0.35% published rate. Merchant pays higher of base × 12 or VPF × annual GMV.</i>                        |
| <b>Shop Payments standard rate</b>      | <b>2.25% + 30¢</b>      | <i>Shopify Plus US rate card. Card-not-present standard.</i>                                                                                                 |
| <b>Shop Payments Amex / commercial</b>  | <b>2.95% + 30¢</b>      | <i>Shopify Plus US rate card. Premium card category.</i>                                                                                                     |
| <b>Magento agency reduction on Plus</b> | <b>- 75%</b>            | <i>Conservative model. Plus customers typically reduce external dev agency spend 70-90% post-migration as marketing and ecom teams self-serve via admin.</i> |
| <b>Active SKU count</b>                 | <b>27,045</b>           | <i>partner evaluation discussions: 644 configurable + 26,338 simple.</i>                                                                                     |
| <b>Customizable jewelry share</b>       | <b>16% of revenue</b>   | <i>partner evaluation discussions. Includes Confetti, Memento, engraving products.</i>                                                                       |
|                                         |                         |                                                                                                                                                              |

|                                  |                       |                                                                                                                                                        |
|----------------------------------|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lazer implementation cost        | \$329,500             | Catbird × Lazer SOW: \$289,500 build + \$40,000 discovery (added 6/23 call). 17-week build.                                                            |
| CQL implementation cost          | ~\$240K               | Per Catbird: "CQL came in the lowest." Exact total not yet shared.                                                                                     |
| Domaine implementation cost      | ~\$425K               | Per Catbird: "Domain came in significantly higher." confirmed during partner evaluation they are the most costly.                                      |
| NetSuite + NewStore cutover      | 2nd week of Aug 2026  | Catbird TCO Discovery sheet, confirmed by Catbird. Slightly later than originally scoped (was mid-July to mid-August).                                 |
| Target commercial agreement date | By Jul 30, 2026       | Target signature date to hit the January 2027 go-live; aligns with the approved 0.30% VPF, valid through July 30, 2026.                                |
| Agency selection target          | 2–3 weeks from Jun 10 | Catbird TCO Discovery sheet, confirmed by Catbird. CQL / Lazer / Domaine decision late June.                                                           |
| Shopify migration go-live        | Late January 2027     | Catbird call: "objective is to launch the Shopify migration in January 2027 to capture efficiency gains throughout that year." Pre-Valentine's window. |

#### LIVE VPF CALCULATOR

## Variable Platform Fee — at any GMV.

Plus charges the **higher** of two amounts: a flat base license (\$2,300/month) or a percentage of monthly GMV (0.30% — Catbird's approved online rate, down from the 0.35% standard). At low GMV the base applies. As revenue grows, VPF takes over. Adjust the inputs to see how the math plays out at any volume.

# Calculate your Plus license cost

All inputs editable · updates in real time

## INPUTS

Annual GMV ⓘ \$

VPF rate ⓘ  %

Base license (monthly) ⓘ \$

## CALCULATED

Base license (annual) **\$27,600**

VPF × GMV (annual) **\$150,000**

Which applies? **VPF (higher)**

VPF breakeven point **\$9.2M annual GMV**

Effective rate at this GMV **0.30%**

## ANNUAL PLUS LICENSE

# \$150,000

VPF applies · \$12,500 / mo equivalent

# How VPF plays out across GMV bands

BELOW \$9.2M ANNUAL

Base applies

\$2,300/mo base ·  
\$27,600/yr. Flat regardless  
of monthly fluctuations.

\$9.2M – \$10M ANNUAL

VPF takes over

At \$10M: \$30,000/yr license  
(vs. \$27,600 base). VPF  
exceeds base.

\$10M+ ANNUAL ·  
CATBIRD'S BAND

VPF scales  
linearly

At \$50M: \$150K/yr. At  
\$100M: \$300K/yr. Rate stays  
at 0.30% no matter how big.

**Why this is good news for Catbird:** the rate stays at 0.30% (Catbird's approved online rate, down from the 0.35% standard) as Catbird scales. You pay more in absolute dollars because you're selling more — but the percentage never moves against you. Most enterprise platforms scale their cut as you grow. Plus doesn't.

## License cost at sample GMV bands

| ANNUAL GMV                      | BASE ×<br>12    | 0.30% ×<br>GMV   | WHICH<br>APPLIES | ANNUAL<br>LICENSE |
|---------------------------------|-----------------|------------------|------------------|-------------------|
| \$3M                            | \$27,600        | \$9,000          | Base             | \$27,600          |
| \$9.2M · breakeven              | \$27,600        | \$27,600         | VPF (just)       | \$27,600          |
| \$20M                           | \$27,600        | \$60,000         | VPF              | \$60,000          |
| <b>\$50M · Catbird<br/>2025</b> | <b>\$27,600</b> | <b>\$150,000</b> | <b>VPF</b>       | <b>\$150,000</b>  |
| \$55M · 2026<br>projected       | \$27,600        | \$165,000        | VPF              | \$165,000         |
| \$75M · scale<br>scenario       | \$27,600        | \$225,000        | VPF              | \$225,000         |

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